

Question 1:

Question: Which of the following decision(s) is(are) associated with working capital management?

- I. Company ABC deciding to extend its accounts payable period from 30 to 45 days
- II. Company ABC deciding to issue \$10 million in new common stock
- III. Company ABC deciding to increase its inventory levels by 20% to prepare for seasonal demand
- IV. Company ABC deciding to invest in a new long-term project with a 10-year payback period

Type: multiple-choice

Options:

- a. I only
- b. III only
- c. I and III only
- d. II and IV only
- e. I, II, and III only
- f. II, III, and IV only

Question 2:

Question: Which of the following statement(s) is (are) accurate regarding financial management and business structures?

- I. A sole proprietorship has unlimited liability but is the easiest business form to establish.
- II. In a corporation, shareholders have limited liability, but the business faces double taxation.
- III. A limited partnership must have at least one general partner who manages the business and assumes unlimited liability.
- IV. The primary goal of financial management is to maximize shareholder wealth, not just

profits.

V. A general partnership does not require a formal agreement and all partners share liability

equally.

VI. Agency problems arise when managers prioritize personal interests over shareholder interests.

Type: multiple-choice

Options:

- a. I, II, and IV only
- b. II, III, V, and VI only
- c. I, II, III, and VI only
- d. I, III, IV, and V only
- e. II, IV, V, and VI only
- f. All I, II, III, IV, V, and VI are true

Question 3:

Question: Which of the following statement(s) is(are) true about a premium bond?

- I. Price of the bond will increase over time as it approaches maturity, given all else unchanged
- II. Before the bond matures, the price of the bond is higher than its face value
- III. Coupon rate of the bond is higher than the yield to maturity
- IV. Bond value will increase if coupon rate increases, given all else unchanged
- V. Value of the bond would increase if the yield to maturity decreases, given all else unchanged

Type: multiple-choice

Options:

- a. II, III and IV only

- b. I, II, and IV only
- c. I, II, III, and IV only
- d. II, III, IV and V only
- e. I, II, III and V only
- f. All I, II, III, IV and V are true

Question 4:

Question: XYZ Corporation has five different bonds currently outstanding. Which one of the following bonds has the greatest interest rate risk?

Bond F is a 12-year bond that pays an annual coupon of \$50 and has a face value of \$1,500.

Bond G will mature in 8 years and has a coupon rate of 8%.

Bond H is a zero-coupon bond with a time to maturity of 18 years.

Bond I has an annual coupon payment of \$30 and will mature in 25 years.

Bond J is a 10-year bond with a face value of \$2,000 and pays annual coupons of \$160.

Type: multiple-choice

Options:

- a. Bond F
- b. Bond G
- c. Bond H
- d. Bond I
- e. Bond J
- f. Not enough information is available

Question 5:

Question: Prosperity Credit Union aims to offer an EAR of 6% on their savings accounts. If

monthly compounding is used, the credit union needs to advertise an APR of _____. Choose the closest answer.

Type: multiple-choice

Options:

- a. 5.5%
- b. 5.8%
- c. 6.0%
- d. 6.2%
- e. 6.5%

Question 6:

Question: Stock XYZ is a constant growth stock that pays dividends annually indefinitely. A dividend of \$3 was just paid today, and the current stock price is \$150. One year from today (at the end of Year 1), the stock price is projected to be \$157.5 (after Year-1's dividend is paid). The required return is _____, capital gains yield is _____, and dividend yield is _____.

Choose the closest answer.

Type: multiple-choice

Options:

- a. 7%, 5%, 2%
- b. 6%, 4%, 2%
- c. 8%, 5%, 3%
- d. 5%, 3%, 2%
- e. 7.5%, 5%, 2.5%

Question 7:

Question: A corporate bond has a BBB rating and a face value of \$1,000. The bond is

currently priced at \$1,250.50 and pays semi-annual coupons. If the bond matures in 15 years, what is its yield to maturity (YTM)? Choose the closest answer.
Type: multiple-choice

Options:

- a. 4.5%
- b. 5.0%
- c. 5.5%
- d. 6.0%
- e. 6.5%

Question 8:

Question:

Stock Beta recently paid a dividend of \$25 today. The dividend will grow at a rate of 5% annually for the next 10 years, after which it will stabilize and remain constant indefinitely. The required return on the stock is 12%. Stock Delta pays a quarterly dividend of \$8, and these payments will continue forever. The current market price of Stock Delta is \$320. Which of the following statements is/are true about Stock Beta and Stock Delta?

I. The effective annual required return is higher for Stock Beta than for Stock Delta.

II. The current price of Stock Beta is greater than the current price of Stock Delta.

Type: multiple-choice

Options:

- a. None of the statements are true
- b. I only
- c. II only

d. Both I and II are true

Question 9:

Question: You purchase an annuity that costs \$250,000 upfront. The annuity will pay you \$20,000 at the end of each year for the next 15 years. If you break even on your investment after 12 years, what is the approximate annual percentage rate (APR) of this annuity?

Choose the closest answer.

Type: multiple-choice

Options:

- a. 4.0%
- b. 4.5%
- c. 5.0%
- d. 5.5%
- e. 6.0%
- f. 6.5%

Question 10:

Question: Which of the following statement(s) is(are) true about yield curves?

- I. If the yield curve is upward sloping and the Federal Reserve signals a future increase in short-term interest rates, the yield curve is likely to flatten.
- II. A flat yield curve implies that the market expects no change in future interest rates.
- III. An inverted yield curve suggests that long-term inflation expectations are lower than short-term inflation expectations.

Type: multiple-choice

Options:

- a. I and II only
- b. II and III only
- c. I and III only
- d. None of the statements are true

Question 11:

Question: Assume today is January 1, 2025. You are planning for your retirement on January 1, 2045, and you have two retirement goals. Goal 1: Six months after you retire, you want to go on a vacation to Asia. To do so, you are going to need to withdraw a lump sum payment of \$100,000 at the beginning of the sixth month that you retire. Goal 2: Once you retire, at the end of each month you are going to withdraw some money for daily and medical expenses. Your first withdrawal will be at the end of the month that you retire. For your first withdrawal, you want to take \$15,000, and after that, you expect that the expenses are going to grow by 0.3% each month and last for 30 years. APR is 7% compounded monthly. a. To fulfill your two retirement goals, what is the total amount that you need to have saved by the time you retire? b. On average your salary is expected to grow at a rate of 0.25% each month, and you are going to deposit 35% of your monthly salary into a savings account. If by the time you retire you have saved \$Y in total (amount as calculated in part (a)), what is your monthly salary when you make your first deposit? What is your monthly salary when you make your fifth deposit?

Type: short-answer

Options: No options provided.

Question 12:

Question: Company XYZ currently has Bond X in the market. Bond X is a 10% 8-year bond that pays out semi-annual coupons. Bond X has a face value of \$2,000. Company XYZ just

issued a new Bond - Bond Y. Bond Y sells at a discount, priced at 8% below par. Bond Y pays out coupons annually and has 10 years to maturity. The YTM for both bonds today is 6%. a. What is the current yield of Bond X? b. What is the coupon rate of Bond Y? c. 4 years from now, the YTM decreases to 3% for both bonds, and you sell Bond X. What is the holding period return for Bond X?
Type: short-answer

Options: No options provided.

Question 13:

Question: Company XY is embarking on a major construction project in partnership with Company ZW. Company XY will start the project today, at the beginning of the year. The total cost of the project is \$12,000,000 in today's value, and it will take exactly 5 years to complete (i.e., the project will be finished at the end of the 5th year). Upon completion, Company ZW will pay Company XY a lump sum of \$18,000,000, with the payment scheduled to be made exactly three months after the project is completed. 75% of the project cost is financed through a loan. Company XY secured a 15-year loan today with a bank, requiring fixed equal monthly payments. (The first repayment will be due at the end of this month.) a. If the APR is 4%, how much will Company XY need to repay each month? b. Exactly two months after Company XY receives the payment from Company ZW (after the loan repayment for that month is made), the company plans to repay all remaining loan installments in one balloon payment. How much will the balloon payment be?

Type: short-answer

Options: No options provided.

Question 14:

Question: TechGrow Inc. just paid a dividend of \$4 per share on January 1st, 2023. The

company announced that due to a major investment in R&D, the dividend will decrease by \$0.50 each year for the next three years (2024, 2025, and 2026). Starting from January 1st, 2027, no dividends will be paid for the following two years (2027 and 2028) as the company focuses on completing its R&D project. On January 1st, 2029, the company will resume dividend payments with a dividend of \$3 per share. After that, the dividend will grow at a rate of 3% per year for the next four years (2030 to 2033). From 2034 onwards, the dividend growth rate will stabilize at 5% per year indefinitely. The required return for TechGrow stock is 8%. What is the price of the stock on January 1st, 2023?
Type: short-answer

Options: No options provided.